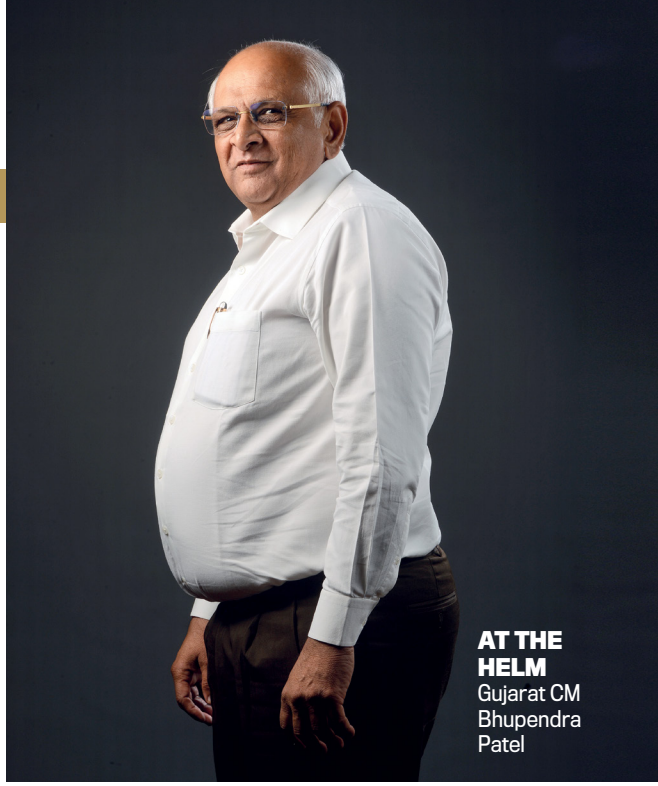

AT THE HELM
Gujarat CM Bhupendra Patel
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ECONOMY

GROWTH ENGINES

Gujarat and Goa race ahead of their counterparts while Haryana and Manipur hit top gear

Agriculture, pharmaceuticals, and oil and gas have catapulted Gujarat to the top, making it the best performing big state in terms of the economy. Among the small states, Goa takes the lead, riding on the back of its revived tourism and mining sectors. While Gujarat moved to the top from No. 2 last year, Goa is No. 1 this year, up from its third position last year. Among the most improved big states, Haryana has jumped from No. 9 to No. 1. Besides being a leader in software services exports, Haryana has factories in Manesar and Faridabad that make up for almost 60 per cent of the country's automobile manufacturing capacity. Among small states, Manipur occupies the summit, improving its No. 3 rank from last year—primarily riding on a rise in the inflow of international tourists.

Best Performing Big State: Gujarat

Gujarat's per capita income is Rs 2.15 lakh, which is the highest among the big states of its size and significantly above the national average per capita income of Rs 1.27 lakh. For decades, agriculture was the key driver of the state's economy, a trend that continues to this day. Pharmaceuticals is another factor while oil and gas is the third sector that contributes substantially. In 2020-21, Gujarat's net state domestic product was Rs 10.99 lakh crore, a giant leap from Rs 52,013 crore in 1995. Being one of the most urbanised states in the country with 44.5 per cent of its population living in urban areas, Gujarat has a healthy ratio of 13 banks per one lakh population and 9.34 commercial banks for every one lakh people. In 2020-21, the state attracted foreign direct investment worth Rs 22,336 crore, or 5.02 per cent of the total FDI that flowed into the country.

GUJARAT GOT FDI WORTH Rs 22,336 CRORE, OR 5.02 PER CENT OF INDIA'S TOTAL FDI, IN 2020-21

Best Performing Small State: Goa

In March 2019, just before the Lok Sabha polls, Chief Minister Pramod Sawant inherited the BJP government from his mentor, the late Manohar Parrikar. Back then, Goa's economy was already battling a slowdown and the state was under the threat of political instability. The Supreme Court, in 2018, had quashed the 88 mining licences and asked the state to issue fresh leases instead of renewing the existing ones along with directions to recover Rs 35,000 crore from the miners. The tourism sector was also slowing down. If mines contributed 20 per cent to the state's GDP, tourism pumped in another 17 per cent. And, for a small state like Goa, it meant that the livelihood of more than half the state's population was affected. Sawant made some strides to put things back on track. At current prices, the state's GSDP is Rs 91,400 crore in 2022-23. That brings prosperity to the state, where the per capita income is around Rs 4.7 lakh—the highest in the country—with about 90.1 per cent of people living above the poverty line.

Most Improved Big State: Haryana

In 2019, when Chief Minister Manohar Lal Khattar just scraped through another mandate, he set a target for himself—to eliminate poverty. Khattar says the approach is two-pronged: one, by assisting the people to increase their incomes and second, by targeting three dimen-